

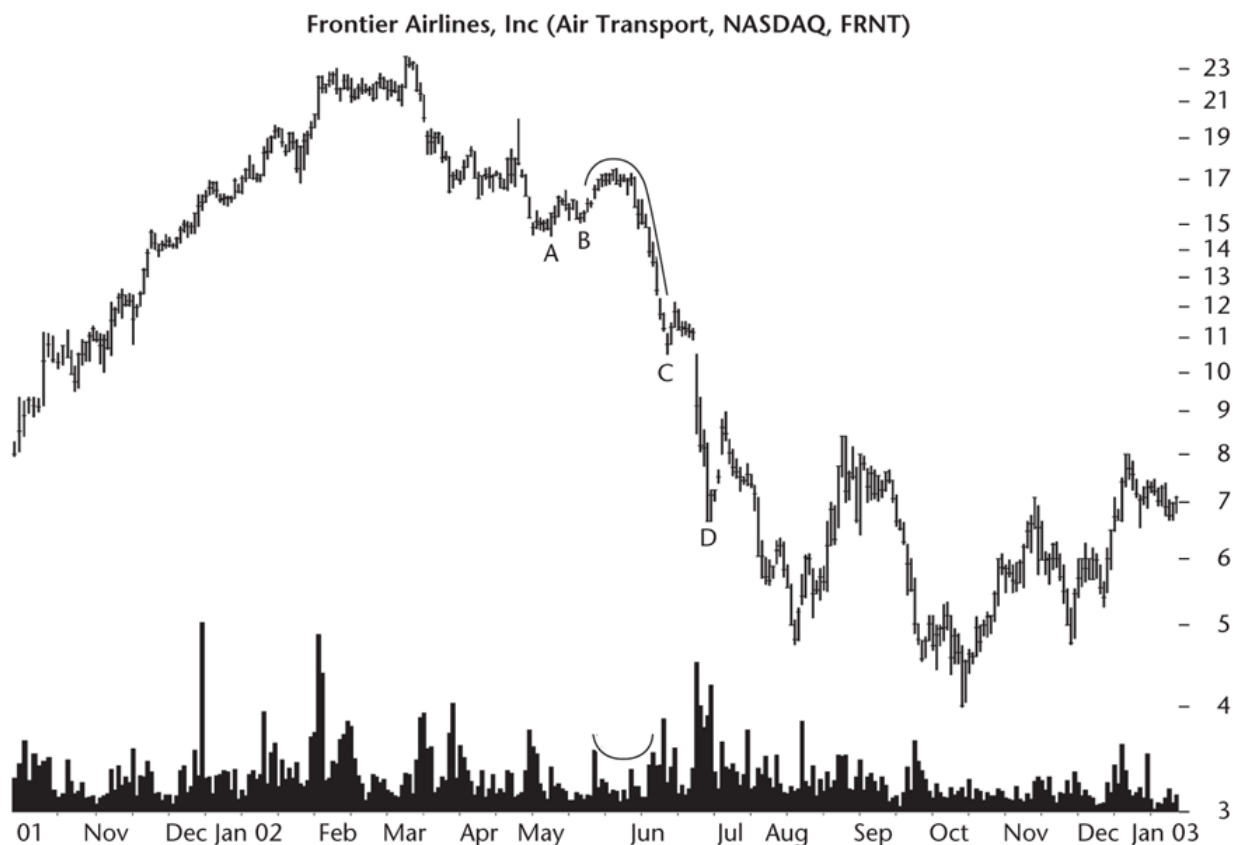


Figure 60.2 B and C mark the beginning and end of the scallop, not A or D.

Proportion. The pattern should look proportional, meaning that the inverted bowl at the top should be sized to the height of the pattern. Do not pair a wide bowl with a meager decline. Use the figures in this chapter as guides. For example, the CD pattern isn't a valid descending and inverted scallop because the turn near C is too narrow (and too pointed) for the drop to D.

Breakout direction. The breakout can be in any direction, but most times it will be downward. That's because price ends the pattern near the bottom, making it easier for it to close lower.

Focus on Failures

Why do scallops fail to perform as expected? Most problems occur with identification. **Figure 60.3** shows an identification failure at turn ADB. The pattern's ends (AB) should make the scallop look like an inverted J. Does